increase litigation risks facing proxy voting advice businesses[103] and interfere with the relationship between investors and proxy voting advice businesses in a way that would increase costs and complexity and bias voting recommendations in favor of corporate management.[104] Two commenters further expressed concern that treating proxy advice as a solicitation could have a chilling effect on shareholder communication.[105]

Some commenters asserted that the Commission has not provided reliable evidence that existing communications between proxy voting advice businesses and their institutional investor clients present a significant risk to investor protection to justify the proposed amendment.[106] Several commenters expressed concern that the Commission disregarded the findings and views of its 2018 Roundtable on the Proxy Process, the Office of Investor Advocate, and the Investor Advisory Committee and called into question the legitimacy of other comment letters.[107] One commenter requested that the Commission clarify the benefits of treating proxy advice as a solicitation.[108] Two commenters also expressed concern that the proposal would overlap with regulations that proxy voting advice businesses are already subject to, including as "investment advisers" under the Advisers Act and as fiduciaries under the Employee Retirement Income Security Act of 1974.[109]

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[103] *See* letters from CIRCA; Elliott I; New York Comptroller II; Ohio Public Retirement; PRI II.

[104] *See* letters from New York Comptroller II; PRI II.

[105] *See* letters from CalPERS; Washington State Investment.

[106] *See* letters from CII IV; Elliott I.

[107] *See* letters from CII IV; Elliott I; Glass Lewis II; ISS.

[108] *See* letter from CalPERS.

[109] *See* letters from ISS; ProxyVote II.

Finally, some commenters that generally opposed the proposal recommended that, if the Commission ultimately decides to amend Rule 14a-1(l), it should make the following revisions to narrow the scope of the proposals: [110]

- Clarify whether "proxy voting advice" under Rule 14a-1(l)(1)(iii)(A) would include data and research that may inform a proxy analysis or be described in a proxy research report but that is marketed separately to investors;[111]
- Exclude advice based on investors' custom policies from the definition of "solicitation";[112]
- Modify the proposal to recognize the difference between proxy voting advice businesses and proxy voting agent businesses, the latter of which "vote solely on behalf of clients, in accordance with such clients' preset voting guidelines, based upon third-party research" and should not be subject to regulation as a proxy voting advice business;[113] and
- Clarify that the reference to "other forms of investment advice" in Proposed Rule 14a-1(l)(1)(iii)(A) is not intended to exclude only advice from an "investment adviser" and thereby sweep into the scope of the term "solicitation" communications made in the normal course of business by other professionals (*e.g.*, management-consulting firms, lawyers, accountants, broker-dealers, etc.).[114]

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[110] *See* letters from CII IV; ISS; New York Comptroller II; PRI II; ProxyVote II; Segal Marco II.

[111] *See* letter from ISS. The commenter further opined that the inclusion of such data and research in the scope of "proxy voting advice" would be "highly inappropriate." *Id.*

[112] *See* letters from ISS; New York Comptroller II; Matthew DiGuiseppe, Head of Asset Stewardship, Americas, and Benjamin Colton, Head of Asset Stewardship, Asia Pacific, State Street Global Advisors (Feb. 3, 2020) ("State Street").

[113] *See* letter from Segal Marco II.

[114] *See* letter from Hermes.

With respect to the proposed amendment to Rule 14a-1(l)(2), some commenters supported the proposal to exclude from the definition of a "solicitation" any proxy voting advice furnished by a person only in response to an unprompted request.[115] Another commenter, however, opposed the proposal, asserting that it would be unworkable because investment advisers and broker-dealers may be hesitant to announce a willingness to provide voting advice out of concern that the Commission would determine they had "invited and encouraged" their clients to ask for advice.[116] This commenter added that the proposed amendment would be counterproductive to investor protection goals because the Commission would be regulating experts with proxy advice-related skills and resources (*i.e.*, proxy voting advice businesses), but would not regulate parties with no relevant expertise who engage in the same activities (*i.e.*, any person that furnishes proxy voting advice in response to an unprompted request).[117] Finally, one commenter recommended that the Commission narrow the proposed exclusion to cover only proxy voting advice provided pursuant to an unprompted request "and not for compensation."[118]

3. Final Amendments

We are adopting the amendments to Rule 14a-1(l)(1)(iii) and 17 CFR 240.14a-1(l)(2) ("Rule 14a-1(l)(2)") as proposed, with some minor changes to the proposed amendment to Rule 14a-1(l)(1)(iii).

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[115] *See* letters from Andrew Cave, Head of Governance and Sustainability, Baillie Gifford & Co (Feb. 3, 2020) ("Baillie Gifford"); BRT; CCMC; Exxon Mobil; IBC.

[116] *See* letter from ISS.

[117] *Id.*

[118] *See* letter from Exxon Mobil.

With respect to Rule 14a-1(l)(1)(iii), consistent with the Proposing Release, we are adding paragraph (A)[119] to make clear that the terms "solicit" and "solicitation" include any proxy voting advice[120] that makes a recommendation to a shareholder as to its vote, consent, or authorization on a specific matter for which shareholder approval is solicited, and that is furnished by a person who markets its expertise as a provider of such advice, separately from other forms of investment advice, and sells such advice for a fee.

As noted above, the determination of whether a communication is a solicitation ultimately depends on the specific nature, content, and timing of the communication and the circumstances under which the communication is transmitted.[121] A number of factors illuminate that determination, and, as set forth above, application of those factors indicate that the advice that proxy voting advice businesses provide to their clients generally constitutes a "solicitation."[122] This amendment, therefore, codifies the Commission's interpretation that proxy voting advice generally constitutes a "solicitation" under Rule 14a-1(l).[123] As we noted in the Proposing

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[119] The amendment is intended to make clear that proxy voting advice provided under the specified circumstances constitutes a solicitation under current Rule 14a-1(l)(1)(iii). It is not intended to amend, limit, or otherwise affect the scope of Rule 14a-1(l)(1)(iii).

[120] As noted above, one commenter requested clarification as to whether the term "proxy voting advice" would include data and research that may inform a proxy analysis or be described in a proxy research report but that is marketed separately to investors. *See supra* note 111 and accompanying text. We have clarified the scope of that term. *Compare supra* note 7, *with* Proposing Release at 66519 & n.11.

[121] *See supra* note 75 and accompanying text.

[122] *See supra* notes 75-79 and accompanying text; *see also infra* note 144.

[123] As noted above, some commenters expressed concern that the amendments are not supported by the relevant evidence and that the Commission may have disregarded the findings and views of more reliable observers, and called into question the legitimacy of other comments. *See supra* notes 106-107 and accompanying text. Very shortly after learning of the concerns raised about these comment letters, the Chairman referred the matter to the SEC's Office of Inspector General to investigate. That investigation is ongoing. We have now learned that some of the commenters who submitted certain of the letters appear to have signed declarations provided to Members of Congress regarding the authenticity of those letters. Our decision to adopt the amendments to Rule 14a-1(l), is not predicated upon the input we received with respect to the quality of the services provided by proxy voting advice businesses or the independence thereof. Rather, these amendments largely codify the Commission's longstanding interpretations of the scope of the terms "solicit" and "solicitation," which, as discussed below, are based on an assessment of the text, structure, history, and purpose of Section 14(a) of the Exchange Act, as well as judicial precedent. *See infra* notes 132-156 and accompanying text. Moreover, although certain members of the Commission may have cited some of the

Release, we believe the furnishing of proxy voting advice by a person who has decided to offer such advice, separately from other forms of investment advice, to shareholders for a fee, with the expectation that its advice will be part of the shareholders' voting decision-making process, is conducting the type of activity that raises the concerns about inadequate or materially misleading disclosures that Section 14(a) and the Commission's proxy rules are intended to address.[124] We also believe that the regulatory framework of Section 14(a) and the Commission's proxy rules, with their focus on the information received by shareholders as part of the voting process, are well-suited to enhancing the quality and availability of the information that clients of proxy voting advice businesses are likely to consider as part of their voting determinations.[125]

In addition, we are aware of at least two proxy voting advice businesses, ISS and Egan-Jones, that use more than one proprietary voting policy or set of guidelines—oftentimes, a

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letters described above during the Commission's open meeting at which the amendments discussed herein were proposed, neither the Commission's interpretations of the scope of the terms "solicit" and "solicitation," nor our decision to adopt the other amendments herein, rest on those letters or their validity. Further, as discussed below, the Commission's interpretations of the scope of the terms "solicit" and "solicitation" are longstanding and far predate the cited comment letters. *See infra* notes 150-154 and accompanying text.

[124] We understand that investment advisers may discuss their views on proxy voting with clients or prospective clients as part of their portfolio management services or other common investment advisory services. Such discussions could be unprompted or prompted (such as in the case of a client or prospective client that has asked the adviser for its views on a particular transaction). For example, a mutual fund board may request that a prospective subadviser discuss its views on proxy voting, including votes on particular types of transactions such as mergers or corporate governance. As noted in the Proposing Release, the amendment is not intended to include these types of communications as solicitations for purposes of Section 14(a). In response to certain comments we received, we also are clarifying the amendment is not intended to include communications made in the normal course of business by other professionals to their clients that may relate to proxy voting. Instead, the amendment is intended to apply to entities that market their proxy voting advice as a service that is separate from other forms of investment advice to clients or prospective clients and sell such advice for a fee.

[125] We understand that a proxy voting advice business might, if applicable requirements are met, be registered as an investment adviser and subject to additional regulation under the Advisers Act, including 17 CFR part 275. However it is not unusual for a registrant under one provision of the securities laws to be subject to other provisions of the securities laws when engaging in conduct that falls within the other provisions. Given the focus of Section 14(a) and the Commission's proxy rules on protecting investors who receive communications regarding their proxy votes, it is appropriate that proxy voting advice businesses be subject to applicable rules under Section 14(a) when they provide proxy voting advice. *See supra* notes 41-60 and accompanying text for a discussion of why we believe Section 14(a), together with the Commission's proxy rules, is an appropriate regulatory regime for such communications by proxy voting advice businesses, regardless of whether they are registered under the Advisers Act.

benchmark policy and one or more specialty policies—in formulating proxy voting advice as to a particular matter to be voted on at a shareholder meeting (or for which written consents or authorizations are sought in lieu of a meeting).[126] Consistent with the Proposing Release, we view the proxy voting advice formulated pursuant to each separate policy or set of guidelines as distinct solicitations under Rule 14a-1(l)(1)(iii)(A). Similarly, as discussed in more detail below,[127] proxy voting advice formulated pursuant to a custom policy constitutes a distinct solicitation under the final rule as well.

We recognize that some commenters opposed our amendments to Rule 14a-1(l)(1). As noted above, some commenters stated that the Commission is not authorized to regulate proxy voting advice as a "solicitation" under the Exchange Act.[128] One commenter specifically asserted that the amendments would be contrary to (1) the legislative history of Section 14(a), (2) the case law that has construed the terms "solicit" and "solicitation" under Section 14(a) and Rule 14a-1(l), and (3) the plain meaning of the term "solicit."[129] According to some opposing commenters, the scope of Section 14(a) is limited to soliciting activities by management, other corporate insiders, dissident shareholders seeking to take control of a company, or parties otherwise having an interest in the outcome of a shareholder vote. These commenters asserted, therefore, that as a matter of statutory interpretation, Section 14(a) cannot extend to communications or activities by persons who do not have an interest in the outcome of the matter being voted upon at the shareholder meeting or who do not seek proxy authority for themselves.[130] These commenters

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[126] *See supra* note 11 and accompanying text.

[127] *See infra* notes 165-169 and accompanying text.

[128] *See supra* notes 93-94 and accompanying text.

[129] *See* letter from ISS.

[130] *See, e.g.*, *supra* notes 96-97 and accompanying text.

further assert that, as a matter of fact, proxy voting advice businesses satisfy both of these criteria (*i.e.*, no interest in the outcome of a vote and no request for authority to vote).[131]

We reject this narrow interpretation of Section 14(a). The Commission's longstanding view that a "solicitation" includes any communication reasonably calculated to result in the procurement, withholding, or revocation of a proxy—and that this encompasses the furnishing of proxy voting advice—accords with the text, history, and structure of Section 14(a) of the Exchange Act, as well as judicial precedent and our own rules.

The structure of Section 14(a) grants the Commission broad authority. It authorizes the Commission to prescribe rules and regulations to govern proxy solicitations "as necessary or appropriate in the public interest or for the protection of investors," and it makes it unlawful for any person to "solicit any proxy" with respect to any security registered under Section 12 of the Exchange Act in contravention of such rules and regulations.[132] Furthermore, rather than defining what constitutes a proxy solicitation, the Exchange Act leaves those terms undefined, while at the same time specifically empowering the Commission to define such terms consistent with the Act's "provisions and purposes"[133] and, more broadly, to make rules and regulations, including rules that classify "transactions, statements, applications, reports, and other materials."[134]

In light of that context, the phrase "solicit any proxy" is not as narrow or mechanical as some commenters have claimed. Citing a dictionary definition, one commenter suggested that the

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[131] *Id*.

[132] *See* S. Rep. No. 73-792, 2d Sess., at 12 (1934) ("The committee recommends that the solicitation and issuance of proxies be left to regulation by the Commission."); H.R. Rep. No. 1383, 73d Cong., 2d Sess., 14 (1934) (explaining the intention to give the Commission the "power to control the conditions under which proxies may be solicited").

[133] 15 U.S.C. 78c(b).

[134] 15 U.S.C. 78w(a)(1).

ordinary meaning of the term "solicit" is "to endeavor to obtain."[135] Under this definition, what matters is the subjective intent of the person engaging in the solicitation, and thus no person would be soliciting a proxy unless they intend to obtain proxy authority. Some commenters likewise claimed that no person would be soliciting a proxy unless they intend to obtain a shareholder's support for a preferred outcome.[136] However, dictionaries at the time Section 14(a) was enacted indicate that the term "solicit" had other meanings that did not depend on the interest or subjective intent of the person engaging in the solicitation. The term "solicit" also meant "[t]o move to action."[137] Under this definition, what matters is not the subjective intent to obtain a proxy, but rather the effect on a recipient's proxy vote. A person solicits a proxy by influencing a shareholder to act. As between these two meanings, we view the latter as more consistent with Section 14(a)'s provisions and purposes, as any inducement that may move a shareholder to vote a proxy in a certain way implicates the Commission's charge to ensure that necessary and appropriate regulations are in place for the protection of investors. That is why the Commission has recognized since 1956 that persons who do not seek proxy authority themselves nevertheless engage in solicitation when they communicate with shareholders in a manner reasonably calculated to "result" in a proxy vote.

The context and history of Section 14(a) accord with this conclusion. Congress considered different versions of the Exchange Act that set forth the applicable proxy standards with more specificity in the analog to Section 14(a) and rejected them in favor of the broad authority granted

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[135] *See* letter from ISS.

[136] *See, e.g.*, *supra* notes 96-97 and accompanying text. In arguing that the plain meaning of "solicit" supports its view, one commenter relied on the dictionary definition "to endeavor to obtain," even though the commenter elsewhere acknowledged that Section 14(a) has long been understood to encompass communications that do not seek to obtain a proxy—and thus would not meet that narrow definition. *See* letter from ISS.

[137] *See* WEBSTER'S NEW INTERNATIONAL DICTIONARY (2d ed. 1934) (providing multiple definitions of the term "solicit," including "[t]o move to action" or "[t]o urge" or "insist upon").

to the Commission in Section 14(a), as enacted.[138] While Congress may have been motivated to enact Section 14(a) in 1934 due to the particular abuses by corporate insiders or dissident shareholders that occurred during that time, nothing in either the text or legislative history of Section 14(a) indicates that Congress intended to limit its scope to solicitations conducted by those parties. Rather, where Congress intended to exempt certain classes of market participants, transactions, or activities from the statutory provisions of the Securities Act and the Exchange Act (as enacted in 1933 and 1934, respectively) or limit the Commission's rulemaking authority with regard to those market participants, transactions or activities, it generally did so by expressly including language in the relevant statutory provision.[139] Indeed, Section 14(a) itself excludes any "exempted security" from its scope, but otherwise facially applies to "any person" without carving out any class of market participants.[140]

Nor does the case law construing Section 14(a) mandate that a party must have an "interest" in the outcome of a shareholder vote in order for a solicitation to occur, as certain

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[138] *See* LOUIS LOSS ET. AL., SECURITIES REGULATION, § 6.C.2 (6th ed. 2018) ("In §14(a) of the Exchange Act, Congress, abandoning the more specific standards of the original bills, left the solicitation of proxies to the SEC under broad public interest standards.") (citing S. 2693, H.R. 7852, 73d Cong., 2d Sess. § 13(a) (1934)).

[139] *See, e.g.,* Securities Exchange Act of 1934, Pub. L. No. 73-291, 48 Stat. 881, § 3(a)(4) (1934) ("Exchange Act (as enacted in 1934)") (stating that the definition of the term "broker" "does not include a bank"); Exchange Act (as enacted in 1934) § 3(a)(5) (stating that the definition of the term "dealer" "does not include a bank, or any person insofar as he buys or sells securities for his own account, either individually or in some fiduciary capacity, but not as part of a regular business"); Exchange Act (as enacted in 1934) § 3(a)(10) (defining the term "security" but expressly stating that the term "shall not include currency or any note, draft, bill of exchange, or banker's acceptance which has a maturity at the time of issuance of not exceeding nine months, exclusive of days of grace, or any renewal thereof the maturity of which is likewise limited"); Exchange Act (as enacted in 1934) § 15(l) (restricting broker-dealers' over-the-counter market activity, but expressly exempting from these restrictions certain exempt securities, commercial paper, and other instruments); Exchange Act (as enacted in 1934) § 24(a) (limiting the Commission's authority to require the "revealing of trade secrets or processes in any application, report, or document filed with the Commission under this title"); Securities Act of 1933, Pub. L. No. 73-22, 48 Stat. 74, § 2(a)(10) (1933) ("Securities Act (as enacted in 1933)") (defining the term "prospectus" and expressly excluding certain written communications from this definition); Securities Act (as enacted in 1933) § 2(a)(11) (carving out from the statutory definition of "underwriter" any "person whose interest is limited to a commission from an underwriter or dealer not in excess of the usual and customary distributors' or sellers' commission"); Securities Act (as enacted in 1933) § 2(a)(3) (carving out from the statutory definition of the terms "sale", "sell", "offer to sell", and "offer for sale" "preliminary negotiations or agreements between an issuer and any underwriter").

[140] *See* 15 U.S.C. 78n(a).

commenters contended.[141] Courts have articulated a broad definition of the term "solicit" such that the proxy rules "apply not only to direct requests to furnish, revoke, or withhold proxies, but also to communications which may indirectly accomplish such a result *or* constitute a step in the chain of communications ultimately designed to accomplish such a result."[142] Moreover, relying on the "subjective intent of the person furnishing the communication" to determine whether a particular communication constitutes a solicitation "is at odds with the plain and unambiguous meaning of the regulation."[143] Instead, the phrase "reasonably calculated to result in the procurement, withholding or revocation of a proxy" in Rule 14a-1(l)(1)(iii) requires an objective inquiry that focuses "on the *manner* in which the communicator attempted to influence a shareholder's proxy decision from the perspective of the shareholder who received the material."[144] Courts also have broadly understood a "solicitation" to encompass "communications

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[141] *See, e.g.*, letter from ISS. Although we do not believe that Section 14(a) requires that a party have an interest in the outcome of a vote, we also do not accept commenters' assertion that, as a matter of fact, proxy voting advice businesses necessarily do not have an interest in the outcome of matters being voted upon at shareholder meetings or do not seek proxy authority for themselves. While this may be true in many instances, we do not think this is always the case. *See* U.S. GOV'T ACCOUNTABILITY OFFICE, GAO-17-47, REPORT TO THE CHAIRMAN, SUBCOMMITTEE ON ECONOMIC POLICY, COMMITTEE ON BANKING, HOUSING, AND URBAN AFFAIRS, U.S. SENATE, CORPORATE SHAREHOLDER MEETINGS: PROXY ADVISORY FIRMS' ROLE IN VOTING AND CORPORATE GOVERNANCE PRACTICES, 18 (2016), *available at* https://www.gao.gov/assets/690/681050.pdf ("2016 GAO Report") ("Officials from one proxy advisory firm with whom we spoke stated that they agree that proxy advisory firms have influence on corporate governance practices. . . . They noted that such influence is good and ultimately they want to have a positive influence on their clients because they view that as part of their responsibility—to promote good governance."); Kevin E. McManus, *CEO Compensation was a Joke Before Covid-19, Now It is Just Obnoxious*, EGAN-JONES PROXY SERVICES (June 11, 2020), https://www.ejproxy.com/weekly-wreck/36/ceo-compensation-was-joke-covid-19-now-it-just-obnoxious/ (criticizing executive compensation at certain registrants and making policy-based recommendations to regulate executive compensation). *See also infra* Section II.B.1. (noting examples of circumstances where the interests of a proxy voting advice business may diverge materially from the interests of the clients who utilize their advice, including a proxy voting advice business providing advice on a matter in which its affiliates or one of its clients has a material interest, such as a business transaction or a shareholder proposal put forward by or actively supported by that client).

[142] *Long Island Lighting Co. v. Barbash*, 779 F.2d 793, 796 (2d Cir. 1985) (emphasis added); *see also Capital Real Estate Inv'rs Tax Exempt Fund Ltd. P'ship v. Schwartzberg*, 917 F.Supp. 1050, 1059 (S.D.N.Y. 1996).

[143] *Gas Natural Inc. v. Osbourne*, 624 Fed. Appx. 944, 950 (6th Cir. 2015) (unpublished).

[144] *Id.* (citing Broker-Dealer Release at 342 (noting that communications from broker-dealers to shareholders "may constitute a solicitation requiring compliance with the proxy rules" depending "upon the content of the material, upon the conditions under which it is transmitted, and upon surrounding circumstances")). *See also Long Island Lighting Co.*, 779 F.2d at 796 ("Determination of the purpose of the communication depends upon the nature of the communication and the circumstances under which it was distributed."); *Sargent v. Genesco, Inc.*, 492 F.2d 750, 767